

to this bias in some way or another. Remember, moreover, that mental accounting can sometimes serve as a beneficial rather than as a harmful cognitive mechanism for investors. This section concludes with a special “bonus” discussion of the helpful aspects of mental accounting.

Correlations between Investment “Buckets”

The most effective method to prevent investors from viewing their money in terms of discrete investment buckets is demonstrating how investments identified with separate mental accounts can actually correlate with one another, impacting portfolio performance. A straightforward discussion of the harms of excessive correlation and the benefits of sufficient diversification ought to effectively refute the bucket rationale. Since mental accounting is a cognitive bias, education can often defeat it.

Total Returns as Priority

The best way to prevent mental accounting from weakening total returns is to remind your client that total returns are, after all, the number-one priority of any allocation. A renewed focus on global portfolio performance—not simply piecemeal aspects, such as principal or income—is often achievable. As clients become more conscious of total returns, they will likely recognize the pitfalls of excessive mental accounting, and the problem will remedy itself.

Company Stock and Diversification

Persuading clients to diversify away from company stock is indeed a theme that emerges again and again in contending with various behavioral biases. This problem arises once more with mental accounting. As in previous instances involving portfolios overly dominated by company stock, the client must be educated as to the benefits of a balanced, diversified portfolio. Excessive concentration in any stock is not good, but a variety of behavioral biases can crop up and cause investors to feel irrationally comfortable with their own companies’ stocks.

House Money Effect

As the research review demonstrates, the house money effect is a manifestation of mental accounting that can cause people to take on more risk as their wealth increases. This specific bias is perhaps the most pernicious of any reviewed in this chapter; however, education can help clients overcome it. Gentle but straightforward reminders regarding the risk of a chosen